he can buy 182 dosas approximately with the Rs 10,000 interest.

Now what happens when inflation comes down? At 8 per cent interest, he gets Rs 8,000 in interest. With dosas having gone up by 5.5 per cent in price, each dosa costs Rs 52.75, so he can now buy only 152 dosas approximately with the interest payment. So the pensioner seems right to complain: with lower interest payments, he can now buy less.

But wait a minute. Remember, he gets his principal back also and that too has to be adjusted for inflation. In the high inflation period, it was worth 1,818 dosas, in the low inflation period, it is worth 1,896 dosas. So in the high inflation period, principal plus interest are worth 2,000 dosas together, while in the low inflation period it is worth 2,048 dosas. He is about 2.5 per cent better off saving in the low inflation period in terms of dosas.

This is a long-winded way of saying that inflation is the silent killer because it eats into pensioners' principal, even while they are deluded by high nominal interest rates into thinking they are getting an adequate return. Indeed, with 10 per cent return and 10 per cent inflation, the deposit is not giving you any real return net of inflation, which is why you can buy only 2,000 dosas after a year of saving, the same as you could buy immediately today. In contrast, when inflation is 5.5 per cent but the interest rate you are getting is 8 per cent, you are earning a real rate of 2.5 per cent, which means 2.5 per cent more dosas, as we have seen. So while I sympathize with pensioners, they certainly are better off today than in the past.